

BUSINESS RESPONSIBILITY REPORT (BRR)

SECTION A: GENERAL INFORMATION ABOUT THE COMPANY

1	Corporate Identity Number (CIN) of the Company	L45203DL1976GOI008171
2	Name of the Company	Ircon International Limited (IRCON)
3	Registered address	C-4, District Centre, Saket, New Delhi- 110017
4	Website	www.ircon.org
5	E-mail id	cosecy@ircon.org
6	Financial Year reported	2021-22
7	Sector(s) that the Company is engaged in (industrial activity code-wise)	Construction of Roads and Railways (NIC Code – 4210)
8	List three key products/services that the Company manufactures/provides (as in balance sheet)	IRCON is an integrated Indian engineering and construction Company and specialises in infrastructure projects. Primary services that the Company offers in relation thereto are as follows: (a) Railways, Highways, Tunnelling & Bridges (b) Electrical & Mechanical (c) Signalling & Telecom (S&T) (d) Workshop and other buildings
9	Total number of locations where business activity is undertaken by the Company: (a) Number of International Locations (Provide details of major 5) (b) Number of National Locations	Number of International Locations: IRCON is having five major overseas offices (i.e. Sri Lanka, Bangladesh, Malaysia, Algeria and Myanmar) from where business activities are undertaken. Number of National Locations: IRCON is headquartered at Saket, New Delhi, India and has fifty-four project offices including four regional offices to support and manage business operations throughout India. Also, setting up of Project Offices is under process at 5 more locations for functioning of newly secured projects in India.
10	Markets served by the Company – Local/State/National/International	IRCON serves Local / State / National and International markets

SECTION B: FINANCIAL DETAILS OF THE COMPANY (2021-22)

1	Paid up Capital	₹ 188.10 crore
2	Total Turnover	₹ 7181 crore
3	Total Profit after taxes	₹ 544 crore
4	Total Spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%)	2% (₹ 10.52 crore total spending on CSR)
5	List of activities in which expenditure in 4 above has been incurred	Refer “Annual Report on CSR and Sustainability” annexed to the Annual Report for FY 2021-22

SECTION C: OTHER DETAILS

1. Does the Company have any Subsidiary Company / Companies?

Yes. As on March 31, 2022, IRCON has eleven subsidiary companies viz.,

- Ircon Infrastructure & Services Limited (IrconISL)
- Ircon PB Tollway Limited (IrconPBT)
- Ircon Shivpuri Guna Tollway Limited (IrconSGTL)

- Ircon Davanagere Haveri Highway Limited (IrconDHHL)
- Ircon Vadodara Kim Expressway Limited (IrconVKEL)
- Ircon Gurgaon Rewari Highway Limited (IrconGRHL)
- Ircon Akloli-Shirsad Expressway Limited (IrconASEL)
- Ircon Ludhiana Rupnagar Highway Limited (IrconLRHL)
- Ircon Bhoj Morbe Expressway Limited (IrconBMEL)
- Ircon Haridwar Bypass Limited (IrconHBL)
- Ircon Renewable Power Limited (IRPL)

BUSINESS RESPONSIBILITY REPORT (BRR)

2. Do the Subsidiary Company/Companies participate in the BR Initiatives of the parent company? If yes, then indicate the number of such subsidiary company(s)

Out of the eleven subsidiary companies, nine companies viz. IrconPBT, IrconSGTL, IrconDHHL, IrconVKEL, IrconGRHL, IrconASEL, IrconLRHL, IrconBMEL and IrconHBL are Special Purpose Vehicles which are formed to undertake the projects as specified by NHAI. Hence, these SPVs indirectly participate in the BR initiatives of IRCON. One subsidiary company viz. IrconSL is a Central Public Sector Enterprise (CPSE) and is required to adhere to the guidelines as issued by the Government of India from time to time. Further, another subsidiary company viz. IRPL [having equity participation of 76% by IRCON and 24% by Ayana Renewable Power Private Limited (Ayana)] has been incorporated on January 13, 2022 and is yet to commence its operations.

3. Do any other entity/entities (e.g. suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, More than 60%]

In most of the cases, BR initiatives are carried out by IRCON directly. All the stakeholders who have formal business arrangements with the Company including the Government, our customers, our suppliers, our contractors and others are indirectly participating in the BR initiatives. However, it is difficult to establish the extent to which their support facilitates the Company's BR initiatives.

SECTION D: BUSINESS RESPONSIBILITY (BR) INFORMATION

1. Details of Director/Directors responsible for BR

(a) Details of the Director/Director responsible for implementation of the BR policy/policies

NO.	PARTICULARS	DETAILS
1.	DIN Number	07654014
2.	Name	Shri Yogesh Kumar Misra
3.	Designation	CMD & Director (Works)

(b) Details of the BR Head

NO.	PARTICULARS	DETAILS
1.	DIN Number (if applicable)	Not Applicable
2.	Name	Dr. Subhash Chand
3.	Designation	Executive Director (Electricals)
4.	Telephone Number	011-26530245
5.	E-mail ID	subhash.chand@ircon.org

2. Governance related to BR

(a) Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, more than 1 year

Various principles of the BR performance are integral to the day-to-day operations of the Company and the same are reviewed by the Board/Board level Committee(s) as an essential item of business concerned. During the FY 2021-22, board-level committee for CSR met 3 times, for assessment and review of CSR activities in IRCON while the Board of Directors met 9 times.

(b) Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

IRCON got listed w.e.f. September 28, 2018 and in compliance with the LODR Regulations, the Company publishes the BRR report annually as a part of the Annual Report. The BRR for the year 2021-22 shall be uploaded as a part of the Annual Report on the website of the Company and shall be available at the following link: http://www.ircon.org/index.php?option=com_content&view=article&id=56&Itemid=430&lang=en.

The Sustainability Reports of the Company are generally published annually and are available at http://www.ircon.org/index.php?option=com_content&view=article&id=52&Itemid=424&lang=en

BUSINESS RESPONSIBILITY REPORT (BRR)

DETAILS OF COMPLIANCE AS PER PRINCIPLES BY NVGs (REPLY IN Y/N)

NO.	QUESTIONS	P1	P2	P3	P4	P5	P6	P7	P8	P9
1.	Do you have a policy / policies for	Y	Y	Y	Y	Y	Y	N	Y	Y
2.	Has the policy been formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	-	Y	Y
3.	Does the policy conform to any national / international standards? If yes, specify? (50 words)	Y	Y	Y	Y	Y	Y	-	Y	Y
		All the policies of the Company have been formulated conforming to applicable statutes/guidelines/rules/policies etc. issued by the Government of India. These policies are formulated, keeping in view industry practices and standards.								
4.	Has the Board approved the policy? If yes, has it been signed by MD/ Owner/CEO/ appropriate Board Director?	Y	Y	Y	Y	Y	Y	-	Y	Y
		Policies of the Company have been approved by the Board/ Competent Authorities as per Board Delegated Powers.								
5.	Does the Company have a specified committee of the Board/Director/ Official to oversee the implementation of the policy	Y	Y	Y	Y	Y	Y	-	Y	Y
6.	Indicate the link to be viewed online	The Policies of the Company are available on the website of the Company at the below-mentioned link: http://www.ircon.org/index.php?option=com_content&view=article&id=212&Itemid=606&lang=en								
7.	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	Y	-	Y	Y
8.	Does the Company have an in-house structure to implement the policy/ policies?	Y	Y	Y	Y	Y	Y	-	Y	Y
9.	Does the Company have a grievance redressal mechanism related to the policy/ policies to address stakeholders' grievances related to the policy/ policies?	Y	Y	Y	Y	Y	Y	-	Y	Y
10.	Has the Company carried out an independent audit/ evaluation of the working of this policy by an internal and external agency?	Policies have been amended from time to time as per regulatory / business / environmental requirements though independent audit / evaluation on working of policies is not done by an internal or external agency.								

If the answer to the question at serial number 1 against any principle is 'No', please explain why.

In respect of Principle 7 referring to Policy Advocacy, the Company does not have any specific policy on this subject as the same does not apply to the Company.

SECTION E: PRINCIPLE-WISE PERFORMANCE

PRINCIPLE 1: BUSINESSES SHOULD CONDUCT AND GOVERN THEMSELVES WITH ETHICS, TRANSPARENCY AND ACCOUNTABILITY

1. Does the policy relating to ethics, bribery and corruption cover only the company? Yes/ No. Does it extend to the Group/Joint Ventures/ Suppliers/ Contractors/NGOs /Others?

IRCON, being a listed Public Sector Enterprise, conducts and governs itself with the Ethics, Transparency and Accountability policies mandated under SEBI

Regulations, the Companies Act, Department of Public Enterprises (DPE) Guidelines, and other policies of the Government of India as applicable from time to time. The Company has a well-structured vigilance department that ensures transparency, efficiency and integrity and best corporate practices in the working of the organisation. The Company also has a Whistle-blower Policy meant for employees to raise any ethical issues within the organisation. Fraud Prevention and Detection Policy is in place for any fraud or suspected fraud involving employees of IRCON as well as representatives of vendors, suppliers, contractors,

BUSINESS RESPONSIBILITY REPORT (BRR)

consultants, service providers or any outside agency / agencies doing any type of business with IRCON.

Additionally, the Company has adopted a Code of Conduct for all the Board Members and Senior Management and Whole-time Directors.

All these policies cover the Company and its employees and directly / indirectly extend to its subsidiary companies. The Joint Venture Companies have their own set of principles and procedures, broadly in line with the Government's policies.

2. How many stakeholder complaints have been received in the past financial year, and what percentage was satisfactorily resolved by the management? If so, provide details thereof in about 50 words or so?

As per the requirements of LODR Regulations, 2015 and provisions of Section 178 of the Companies Act, 2013, the Company has a Stakeholder Relationship Committee specifically to look into various aspects of interest of the shareholders. As reported by the Registrar & Transfer Agents (RTA) of the Company i.e., KFin Technologies Private Limited, (From beginning of FY 2020-21 till 04.01.2022) and Alankit Assignments Limited (w.e.f. 05.01.2022 till 31.03.2022), 508 grievances were received from the shareholders during the year 2021-22, no grievances were pending as on March 31, 2022.

Besides, out of a total of 41 public grievance / complaints (including 8 complaints from the previous FY), 31 complaints were resolved during the year 2021-22 and 10 were pending as on March 31, 2022, from the general public under Centralized Public Grievance Redressal and Monitoring Scheme (CPGRAMS).

During the year 2021-22, the vigilance department has received a total of 01 complaint. Total 07 complaints were disposed including pending complaints of previous FY. There is no pending complaint at the end of FY 2021-22.

No cases of whistle-blower and sexual harassment were reported during the year.

During the year 2021-22, 07 cases were filed by the MSEs at MSME SAMADHAN- Delayed Payment

Monitoring System, out of these 04 cases are pending as on March 31, 2022.

PRINCIPLE 2: BUSINESSES SHOULD PROVIDE GOODS AND SERVICES THAT ARE SAFE AND CONTRIBUTE THROUGHOUT THEIR LIFE CYCLE

1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and/or opportunities.

IRCON is a leading infrastructure company that undertakes projects mainly pertaining to the development of social infrastructure such as roads, highways and railways amongst others. These projects are designed as per the specifications of the clients and IRCON has little choice to include sustainability features in the projects. However, the Company endeavours to participate in such activities when the projects are being designed on its own terms.

The major goods and services that have addressed social or environmental concerns and opportunities are as follows:

- Automatic Power Factor (APF) correction panels of 10.7 kVAR capacity have been designed and are being installed at the Receiving Substations (RSS) for Delhi-Ghaziabad-Meerut RRTS corridor of NCRTC project for RSS Energy Conservation. Moreover, the RSS Control Room Building is also constructed with highest rating Indian Green Building Council (IGBC) standards to conserve energy.
- IRCON has installed LED Lights for energy conservation which reduces energy consumption by upto 50% in various projects like Loco Shed at Bondamunda, Staff Quarters at Mathura-Kasganj-Kalyanpur RE Project, etc. and are also planned to be installed at USBRL E&M Tunnel Project.
- Capacitor Banks of 2400 kVAR capacity have also been installed at Baramulla TSS (J&K) for USBRL RE project to improve the power factor. More than 3000 units of electricity on a daily basis will be conserved on installing capacitor banks once electric traction is introduced in valley. Capacitor Banks are also planned to be installed at Qazigund and Budgam TSS for energy conservation.

BUSINESS RESPONSIBILITY REPORT (BRR)

- d. IRCON is setting up a State of the art 500 MW Grid connected solar Photovoltaic power project (Tranche-III) under Central Public Sector Undertaking (CPSE) Scheme Phase-II (Government Producer Scheme). The 500 MW Solar Power Plant is being set up in the state of Karnataka.
- e. IRCON has also installed Solar Power Photovoltaic Panels for its office Complex in Sangaldan (J&K) with a capacity of 110 kWp.
- f. The New Track Construction (NTC) machine purchased for Dedicated Freight Corridor Project, CTP-12 (DFC project), is commissioned successfully to improve productivity, safety, efficiency and quality in track laying at DFC Project. At present, only two companies have this machine.

Furthermore, all the Indian and International projects carried out by Company comply with the Statutory Laws and conforms to the National and International Standards on safety and sustainability.

2. For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product (optional):

- (a) Reduction during sourcing/ production/ distribution achieved since the previous year throughout the value chain?
- (b) Reduction during usage by consumers (energy, water) has been achieved since the previous year?

During the year 2021-22, the Company has not measured its usage of water, energy and raw material on all projects being executed in India. This is because IRCON is in the business of providing services and it does not produce any products. However, the Company is actively engaged in providing services at its project sites to propagate the saving in the use of natural resources and energy-saving alternatives.

3. Does the Company have procedures in place for sustainable sourcing (including transportation)?

- (a) If yes, what percentage of your inputs was sourced sustainably? Also, provide details thereof, in about 50 words or so.

As a Government Company, IRCON is required to comply with the requirements of procurement of resources through Micro and Small Enterprises (MSEs). The Company has a comprehensive Purchase Preference Policy, which is in line with Public Procurement Policy for Micro and Small Enterprises (MSEs) Order, 2012 notified by the Ministry of Micro Small and Medium Enterprises (MSME) under section 11 of Micro Small and Medium Enterprises Development Act, 2006. The e-procurement portal, that is, Central Public Procurement Portal (<https://etenders.gov.in/eprocure/app>) provides for the facilitation of registration of MSEs and participation in e-tender by availing the benefits of exemption from payment of the cost of tender fee and earnest money.

During the financial year 2021-22, the Company has procured items valuing ₹181.24 crore from MSEs vendor against the expenditure valuing ₹600.09 crore towards materials and stores. Therefore, your Company has achieved 66.92% of net procurement from MSEs.

The Company pursues its business activities safely and sustainably. All work practices, procedures and production endeavours to comply with the standards of Safety, Health, and Environment as per industry norms, Government and relevant statutory bodies. It is also an ISO certified Company for Quality Management System for the organisation (since 1996), Environment Management System (since 2011), and Occupational Health and Safety Management System (certified since 2012). The Company has now switched over to new standard of Occupational Health and Safety Management System, that is, ISO 45001:2018.

At present, the Company does not have a process in place to measure this particular parameter in percentage.

4. Has the Company taken any steps to procure goods and services from local and small producers, including communities surrounding their place of work?

- (a) If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

Yes, being a CPSE, the Company's procurement policy and practices are guided by the Government policies

BUSINESS RESPONSIBILITY REPORT (BRR)

and practices, including CVC Guidelines. These are based on transparent procurement mechanism, which also promotes procurement from local and small producers and suppliers.

IRCON is procuring goods and services as per Public Procurement Policy, 2012 from MSEs. Accordingly, purchase preference is given to those small producers quoting their price within the price band as prescribed by the Company. The Company has also adopted fair, equitable and transparent tendering procedures to encourage Indian bidders and suppliers. Furthermore, Vendor Development Programme for MSEs is also organised by the Company to bring more awareness among MSEs and increase their participation. During the year 2021-22, on September 15, 2021 the Company has conducted a Special Vendor development Programme at Patna project and Eastern Region Office, Kolkata including SC/ ST entrepreneurs to increase more awareness and increase procurement of goods and services from MSEs. In addition to this, as per the notification of Ministry of Commerce and Industry (Department of Policy and Promotion), the Company has relaxed norms from criteria of prior experience and turnover in public procurement for start-ups.

IRCON does infrastructure projects in foreign countries as well. Although, the scope of procurement in these projects is limited, the Company sources 65%-75% of goods and services from Indian companies in projects funded by the GOI.

For procurement of goods and services, open tenders are generally invited. To improve the capacity and capability of local and small vendors, specific steps are being taken by IRCON. Discounts and benefits to the local and small vendors are offered to reduce the transaction cost of doing business. MSEs are provided with free of charge tender documents, exemption from the payment of earnest money, and adopting e-procurement to bring transparency, amongst others. Furthermore, the Company has boarded on the TReDS platform w.e.f. January 25, 2018 to facilitate financing of trade receivables of MSEs by discounting of their receivables and realization of their payment before due date.

A 'Quality Policy' has been adopted to achieve and sustain excellence in the construction business through an effective Quality Management System and to achieve customer satisfaction by delivering projects within the scheduled time at economical cost and with highest quality.

In addition to this, the Company has taken necessary steps implementing the above policies and its continued pursuit in this direction has improved participation of small and local players, and socio-economic development of communities in and around its operational locations.

5. Does the Company have a mechanism to recycle products and waste? If yes, what is the percentage of recycling of products and waste (separately as <5%, 5-10%, >10%)? Also, provide details thereof, in about 50 words or so.

IRCON is a specialised construction organisation covering the entire spectrum of construction activities and services in the infrastructure sector. It does not have any manufacturing unit. However, certain practices for recycling of the waste are being followed in Company-owned properties as well as in some projects. Waste-water recycling is also being promoted through the construction of Sewage Treatment Plants (STP) at Corporate Office (Delhi), offices at NOIDA & Gurugram, and MFC buildings. LED lights, sensor lights and sensor taps are being used in the Corporate Office, the state-of-the-art building constructed and other offices being constructed by IRCON to conserve electricity and water.

PRINCIPLE 3: BUSINESSES SHOULD PROMOTE THE WELL-BEING OF ALL EMPLOYEES (DETAILS AS ON 31.03.2022)

1. Please indicate the total number of employees.

Total number of employees as on March 31, 2022 is 1278

2. Please indicate the total number of employees hired on temporary/ contractual/ casual basis.

During the year 2021-22, IRCON hired 135 employees on contractual basis (including service contract). The Company does not hire employees on temporary or casual basis. However, the Company awards jobs and

BUSINESS RESPONSIBILITY REPORT (BRR)

works contracts to contractors at its various projects as per requirement of the project or work. The number of workers with contractors varies from time to time.

3. Please indicate the number of permanent women employees.

Number of permanent women employees as on March 31, 2022 is 53

4. Please indicate the number of permanent employees with disabilities.

Number of permanent employees with disabilities as on March 31, 2022 is 07

5. Do you have an employee association that is recognised by the management?

The management recognises no employee association.

6. What percentage of your permanent employees are members of this recognised employee association?

Not Applicable.

7. Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year and pending, as on the end of the financial year.

No.	Category	No. of complaints filed during the financial year	No. of complaints pending as on the end of the financial year
1.	Child labour / forced labour /involuntary labour	NIL	NIL
2.	Sexual harassment	NIL	NIL
3.	Discriminatory Employment	NIL	NIL

8. What percentage of your under mentioned employees were given safety and skill upgradation training in the last year?

The Company has adopted a detailed annual plan for training of all level of employees (Corporate and project site). Additionally, training on specific knowledge areas for relevant discipline are also

arranged as per the requirement.

Due to social distancing and safety measures being taken amid COVID-19 pandemic, mostly virtual trainings were organized during the year 2021-22. Details of the trainings on safety and skill upgradation given during the last year is as follows:

Permanent Employees: 26.20%

Permanent Women Employees: 67.00%

Casual/Temporary/Contractual Employees: 0.68%

Employees with Disabilities: 14.20%

PRINCIPLE 4: BUSINESSES SHOULD RESPECT THE INTERESTS OF, AND BE RESPONSIVE TOWARDS ALL STAKEHOLDERS, ESPECIALLY THOSE WHO ARE DISADVANTAGED, VULNERABLE AND MARGINALISED

1. Has the Company mapped its internal and external stakeholders? Yes/No.

Yes, the Company has identified 'Customers', 'Employees', 'Shareholders', 'Vendors/ Contractors' and 'Society' as its stakeholders and it understands the distinct requirement of its various stakeholders.

2. Out of the above, has the Company identified the disadvantaged, vulnerable and marginalised stakeholders?

The Company has identified PwD, SC, ST, OBC, Women, Start-ups, amongst others as disadvantaged, vulnerable and marginalised stakeholders and their concerns are addressed as per the government policies as applicable from time to time.

The Company regularly organises vendor meets for encouraging participation of MSE vendors, including MSE vendors owned by SC/ST and women entrepreneurs. The Company has achieved the procurement target in terms of Public Procurement Policy, Order 2012. It has established a policy for Public Procurement from 'Startup' under the 'Startup India' initiative of the Government of India for creating a conducive environment for startups in India. While developing the infrastructure projects, the Company ensures that the structures are friendly for the physically disabled persons.

The Company has a well-structured Corporate Social Responsibility and Sustainability policy (CSR Policy) covering sustainability needs for various stakeholders.

BUSINESS RESPONSIBILITY REPORT (BRR)

It covers supporting the capacity building, empowerment of communities, inclusive socio-economic growth, environment protection, promotion of green and energy-efficient technologies. Additionally, it also looks after the development of backward regions and upliftment of the marginalised and under-privileged neglected and weaker sections of the society, which comprise of SCs, STs, OBCs, minorities, BPL families, old and infirm, women/ girl child, physically challenged amongst others.

3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalised stakeholders? If so, provide details thereof, in about 50 words or so.

IRCON has always been sensitive to the needs of disadvantaged, vulnerable and marginalised stakeholders. As per recruitment rules, the Company ensures reservation of posts for SC, ST, OBCs, ex-serviceman and physically disabled persons in accordance with the instructions issued by the Government of India from time to time.

The Company has adopted a CSR Policy, with the following Vision and Mission:

Vision: To make Corporate Social Responsibility an important element of the working of the Company thereby addressing environmental, social and economic concerns of the society.

Mission: IRCON envisions supporting the capacity building, empowerment of communities, inclusive socio-economic growth, environment protection, promotion of green and energy efficient technologies, development of backward regions, and upliftment of the marginalized and under-privileged, neglected and weaker sections of the society which comprise of SCs, STs, OBCs, minorities, BPL families, old and infirm, women / girl child, physically challenged etc.

The Company is procuring goods and services as per Public Procurement Policy, 2012 from MSE and it also conducts Vendor Development Programme, including local vendors, to bring more awareness among MSE and to increase their participation.

Furthermore, the Company has Policy for Prevention, Prohibition and Redressal of Sexual Harassment at the workplace for providing a congenial and safe working atmosphere to women employees. The policy also extends to the wholly-owned subsidiary companies of IRCON formed as Special Purpose Vehicles.

PRINCIPLE 5: BUSINESSES SHOULD RESPECT AND PROMOTE HUMAN RIGHTS

1. Does the policy of the Company on human rights cover only the Company or extend to the Group/ Joint Ventures/ Suppliers/ Contractors/ NGOs/ Others?

IRCON's HR Policies are aligned with the standard practice of business and human rights and are mandated for all employees posted at various projects, offices, JVs and Subsidiaries of the Company. The Human Rights provisions are also built-in our bidding documents for contracts/works invited on a competitive bidding basis covering our suppliers and contractors.

2. How many stakeholder complaints have been received in the past financial year, and what percentage was satisfactorily resolved by the management?

No complaint was received regarding violation of human rights during the year 2021-22.

PRINCIPLE 6: BUSINESS SHOULD RESPECT, PROTECT, AND MAKE EFFORTS TO RESTORE THE ENVIRONMENT

1. Does the policy related to Principle 6 cover only the Company or extends to the Group/ Joint Ventures/ Suppliers/Contractors/NGOs/ others.

The Company has a CSR Policy to act in a socially, economically and environmentally sustainable manner at all times. It also has an Environmental Manual Occupational Health and Safety Manual and well-defined Safety, Health and Environmental policy (SHE Policy) to ensure safety of personnel, operations and assets in all areas of activities. It aims to maintain a healthy and hygienic atmosphere.

The Company holds ISO:14001-2015 and ISO:45001-2018 Certificates for Environment Management System and Occupational Health & Safety Management System, respectively.

The SHE policy of IRCON encompasses the Company, its subsidiaries in general and relative aspects pertaining to Vendors / Suppliers Contractors through General Contract Conditions (GCC).

2. Does the Company have strategies/ initiatives to address global environmental issues such as climate change, global warming, etc.? Y/N. If yes, please give hyperlink for webpage.

IRCON, as a responsible corporate, is committed to

BUSINESS RESPONSIBILITY REPORT (BRR)

safeguard the environment by preventing pollution and conserving natural resources. The Company implements an Environmental Management System at its sites and offices. With global energy demand outgrowing production, there is an immediate need for adopting sustainable practices for energy efficiency, reduce the impact of climate change, preserve the quality of human life and meet government initiatives.

IRCON is providing the features similar to the 'Green Buildings Constructions' at its corporate & project offices, thereby reducing the environmental impacts on water, materials, waste, energy and carbon emission while assuring the quality of life and comfort to the community.

Furthermore, environment-friendly equipment such as solar panels are being actively installed at various offices / projects. The wastewater is recycled at Corporate Office through Sewage Treatment Plant (STP) and refined water is used for horticulture work. STPs have been constructed at offices at NOIDA, Gurugram, and MFC buildings. LED lights, sensor lights and sensor taps are being used in the Corporate Office to conserve electricity and water. Various environment-friendly steps such as the use of fly ash brick instead of clay brick, rainwater harvesting arrangements, sensor-controlled Chromium Plate (CP) fittings, use of the latest version of facade glass (glass in the building) to make the building sustainable, amongst others are being taken up across various offices/projects of the Company. The monitoring of water usage and waste water levels, ambient air quality and noise quality is also carried out at several construction sites. The Company emphasises providing a clean environment by initiating indoor air quality monitoring in the Corporate Office building. Additionally, tree plantation are also undertaken at the corporate, project and other office premises.

3. Does the Company identify and assess potential environmental risks? Y/N

Yes, the Company has a framework for Impact on Environment due to construction work and a document "Environment Impact Assessment due to construction activities" accessible to the employees provides for the assessment of ecological aspect for construction

activities at its sites. The assessment evaluates the positive and negative impacts that the construction activities may have on the environment consisting of natural, social and economic aspects. It identifies the significant effect of construction activities on the environment. Thereafter, control measures are adopted by the Company to minimise the impact of any significant impact on the environment.

Furthermore, the Company ensures all mandatory clearances, including environment clearance from the Ministry of Environment, Forest and Climate Change before the commencement of any construction at project sites. For certain type of plants like Crusher Plant, Concrete Mix Plant, Hot Mix Plant etc. consent to establish and consent to operate are taken from the concerned authorities.

4. Does the Company have any project related to the Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if Yes, whether any environmental compliance report is filed?

No

5. Has the Company undertaken any other initiatives on – clean technology, energy efficiency, renewable energy, amongst others? Y/N. If yes, please give hyperlink for web page.

IRCON is an ISO certificated organisation for QMS, EMS and OHSAS since 1996, 2011 and 2012, respectively. The Company is taking initiatives towards the clean environment by using solar energy, installation of sewage treatment plants, use of LED lights and use of sensor fitted lights in building corridors at the Corporate, Project & other offices.

6. Are the Emissions/Waste generated by the Company within the permissible limits given by CPCB/SPCB for the financial year being reported?

Yes. All legal parameters, including emission norms from any Internal Combustion Engine are kept under control, always. The emissions & waste generated by the Company is within permissible limits. Annual Environment Compliance reports are submitted by the respective work units to respective State Pollution Control Boards (SPCB). All the buildings/offices comply

BUSINESS RESPONSIBILITY REPORT (BRR)

with environmental regulations. Procedures are in place for storage, handling and disposal of hazardous chemicals and wastes. The construction waste, electrical and e-waste are disposed scientifically and through a licensed recycler.

7. Number of show cause/legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on the end of Financial Year.

No show cause notice/ legal notice is received/ pending from any CPCB/ SPCB.

PRINCIPLE 7: BUSINESSES, WHEN ENGAGED IN INFLUENCING PUBLIC AND REGULATORY POLICY, SHOULD DO SO IN A RESPONSIBLE MANNER

1. Is your Company a member of any trade and chamber or association? If Yes, Name only those major ones that your business deals with.

Yes, the Company has an association with several trade chamber and associations such as:

- Standing Conference of Public Enterprise (SCOPE)
- Confederation of Indian Industry (CII)
- Indian Road Congress (IRC)
- Project Export Promotion Council of India (PEPC)
- PHD Chamber of Commerce and Industry (PHDCCI)
- National Real Estate Development Council (NAREDCO)
- Institute of P. Way Engineers India (IPWAYEI)
- Asian (Urban) Institute of Transport Development (AITD)
- India Habitat Centre (IHC)
- National Highways Builders Federation (NHBF)
- Construction Industry Development Council (CIDC)
- Indian International Centre (IIC)

2. Have you advocated/lobbied through above associations for the advancement or improvement of public good? Yes/No; if yes specify the broad areas (Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others).

The Company's interests are represented through inputs to government queries, knowledge sharing, response to surveys, feedback on industry needs, the formation of government policies such as GST, Company Law, Industrial policy, Procurement Policy, amongst others. The Company also interacts with government bodies such as the Ministry of Railways, Department of Public Enterprises and NITI Aayog and participates in various policy formulation such as road map for the development of CPSEs, Make in India and Start-up India, amongst others. The Company responsibly provides its unbiased opinion at a relevant forum for the development of infrastructure in the country and in general, towards sustainable development and corporate social responsibility in the public interest.

PRINCIPLE 8: BUSINESSES SHOULD SUPPORT INCLUSIVE GROWTH AND EQUITABLE DEVELOPMENT

1. Does the Company have specified programmes / initiatives/ projects in pursuit of the policy related to Principle 8? If yes, provide details thereof.

The Company's affirmative policies, which comply with Government of India guidelines promote diversity, equity and recognise people on their merits and skill sets irrespective of their race, caste, religion, colour, ancestry, marital status, gender, age and nationality. The Company's social vision is to conduct its CSR initiatives in sync with its policy of doing business in a socially responsible and sustainable manner.

IRCON is committed to undertake CSR activities complying with the provisions of Section 135 of the Companies Act, 2013 and related Rules. In line with the substantial amendments in Section 135 of the Companies Act, 2013 (the 'Act') and the Companies (Corporate Social Responsibility Policy) Rules, 2014 w.e.f. 22 January 2021, the Company has also revised and the CSR policy in June 2021.

The Company has various social development projects, which are aimed at promoting healthcare, providing sanitation and creating livelihood for the people especially those belonging to the disadvantaged sections of the society. CSR expenditure is incurred on the basis of Annual Theme mandated by DPE and like for the financial year 2021-22, the CSR Theme was 'Health & Nutrition'. As per DPE Guidelines and CSR

BUSINESS RESPONSIBILITY REPORT (BRR)

Policy of the Company, 70% of CSR budget was to be spent on the CSR Theme; 75% of the budget is to be spent on the local areas of IRCON and 25% on non-local areas.

During the year 2021-22 IRCON took many initiatives for developing the social goal through the installation of oxygen plant to deal with COVID-19 pandemic, Ensuring environment sustainability through providing rain water harvesting system and composting system at Delhi. The maximum amount of the CSR Budget has been spent on health sector including contribution to the PM CARES Fund. During FY2021-22, the Company has spent ₹ 10.52 Crore on CSR activities. The list of CSR projects undertaken during the year is enclosed in the Annual Report on CSR and Sustainability as annexed to Directors Report.

2. Are the programmes/projects undertaken through in-house team/ own foundation/ external NGO/ government structures/ any other organisation?

There is a separate CSR Department for implementing the CSR Policy of the Company. In areas where the Company does not have in-house expertise, the services from the specialised agencies viz. NGOs, Institutes / Academic Organisation, Government, Semi-government, autonomous organisations, contracted agencies for construction work, professional consultancy organisations, registered trust or society, subsidiary companies of IRCON, amongst others are being taken. It is ensured that the agency complies with the CSR Policy of the IRCON and possesses CSR Form-1.

3. Have you done any impact assessment of your initiative?

As per the revised CSR Policy, single CSR Project with outlay of ₹ 1 crore or more, shall be evaluated by an independent external agency in terms of achievement of goals. Since none of the projects executed by IRCON were of ₹ 1 Crore or more, Impact Assessment was not conducted.

4. What is your Company's direct contribution to community development projects - Amount in INR and the details of the projects undertaken?

The details of contribution towards community development projects under CSR policy has been placed in the "CSR and Sustainability Report" annexed to the Directors' Report.

5. Have you taken steps to ensure that this community development initiative is successfully adopted by the community? Please explain in 50 words, or so.

Before undertaking any CSR activity, IRCON follows certain steps for confirming the sustainability and impact on its beneficiaries and society at large. This involves verification of the reliability and clean track record of the implementing agencies, project reach and objective in line with CSR Policy and requirement from Local administration of the project location, field verification and compliance check, sustainability factor, amongst others.

Apart from above, the CSR department and project offices have an in-house monitoring mechanism to ensure community engagement and adoption of its CSR projects which includes:

Monitoring Mechanism: Project level committees for CSR on each Project have been established for monitoring the projects in areas adjoining the project areas. The periodical progress reports, field visit reports, physical progress reports, community interaction reports, feedback reports from local administration and community, amongst others, of each CSR project are sent to the Nodal officer, who in turn compiles the reports and puts up the progress report to the CSR Committee/Board of Directors for review.

Evaluation by Independent Agency: Upon completion of the CSR projects, evaluations are conducted by an independent external agency for assessing the impact and success of the implementation.

Reporting: To create awareness among stakeholder, detailed status about the CSR Policy, CSR activities and regular updates are being placed on IRCON's website. From time to time, the implementation of the major activities is reported in media. In addition to this, Annual Report on CSR & Sustainability is also annexed to the Directors Report.

PRINCIPLE 9: BUSINESSES SHOULD ENGAGE WITH AND PROVIDE VALUE TO THEIR CUSTOMERS AND CONSUMERS IN A RESPONSIBLE MANNER

1. What percentage of customer complaints/ consumer cases are pending as on the end of the financial year?

Out of total business of IRCON, almost 100% is contributed from Railways and Highways. Most of

BUSINESS RESPONSIBILITY REPORT (BRR)

projects/works of IRCON in the domestic region are awarded by Ministry of Railways, National Highway Authority of India and other government authorities.

Regular meetings with the vendors/suppliers are being carried out at the Project Sites/ offices for speedy resolutions of their grievances/ issues faced by them in the execution of the Project.

2. Does the company display product information on the product label, over and above what is mandated as per local laws? Yes/No/N.A. /Remarks (additional information)

Not Applicable.

3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behaviour during the last five years and pending as on the end of the financial year. If so, provide details thereof, in about 50 words or so.

No.

4. Did your Company carry out any consumer survey/ consumer satisfaction trends?

Most of the projects/works of IRCON in the domestic region are awarded by Ministry of Railways, National Highways Authority of India and other government authorities. This means that the Company is not directly linked to the individual customers.

The Company plays a pro-active part in dealing with its clients. During the execution of a project, regular and structured meetings along with progress review meetings are often held to take stock of problems and difficulties for immediate remedy or to avoid recurrence thereafter. Any shortcoming/defect during execution is rectified and attended promptly. This approach has led to customers/ client satisfaction, which is often reflected in the form of repeat order.

During the year, the Company has not received any unsatisfactory report from any client/ consumer.

For and on behalf of the Board of Directors

Sd/-

(Yogesh Kumar Misra)

Chairman & Managing Director and CEO

(DIN: 07654014)

Date: August 08, 2022

Place: New Delhi